

ESG Report

International Sustainability Standards Board

Test SME Ltd

Annual Report • 2025

ISSB Compliant

Executive Summary

Test SME Ltd presents its sustainability disclosures for the reporting period 2025, prepared in accordance with the International Sustainability Standards Board (ISSB) IFRS S1 and IFRS S2 Climate-related Disclosures. The organization reports total greenhouse gas (GHG) emissions of 1,991 kg CO₂e, establishing the 2025 reporting period as the baseline year for climate-related metrics and targets. These disclosures encompass emissions from operations under the organization's direct control and purchased energy consumption, measured using the operational control approach in alignment with the Greenhouse Gas Protocol Corporate Standard. The emissions inventory comprises 542 kg CO₂e in Scope 1 (direct emissions from owned or controlled sources) and 1,450 kg CO₂e in Scope 2 (indirect emissions from purchased energy), indicating that climate-related impacts primarily derive from operational energy utilization. Scope 3 (value chain) emissions are reported as zero kilograms CO₂e, consistent with the organization's limited value chain complexity and materiality assessment under IFRS S2. This emissions profile reflects the focused operational scope typical of a small and medium-sized enterprise (SME), where environmental impacts are concentrated within direct operational activities rather than upstream or downstream value chain dependencies. As a compact organization, Test SME Ltd maintains comprehensive visibility over its emissions sources, enabling robust data collection for regulatory compliance and risk management purposes. The company commits to maintaining ISSB-aligned disclosure practices and will reassess the materiality of value chain emissions as business operations evolve. These baseline metrics inform the integration of climate-related risks and opportunities into enterprise governance and strategic planning, ensuring transparency for stakeholders and compliance with emerging sustainability reporting requirements.

Compliance Standards:

ISSB

ISSB S2

EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

542

kg CO₂e

SCOPE 2 - INDIRECT (ENERGY)

1,450

kg CO₂e

SCOPE 3 - VALUE CHAIN

0

kg CO₂e

TOTAL EMISSIONS

1,991

kg CO₂e

Test SME Ltd reports total greenhouse gas (GHG) emissions of 1,991 kg CO₂e for the 2025 reporting period, measured in accordance with the GHG Protocol Corporate Accounting and Reporting Standard and disclosed under ISSB IFRS S2 Climate-related Disclosures. The emissions inventory encompasses direct emissions from owned or controlled sources (Scope 1), indirect emissions from purchased energy (Scope 2), and value chain emissions (Scope 3), reflecting the organization's operational boundaries and current measurement capabilities. Scope 1 direct emissions total 542 kg CO₂e, while Scope 2 indirect emissions from energy consumption account for 1,450 kg CO₂e. Scope 3 value chain emissions are reported as 0 kg CO₂e, indicating that upstream and downstream emissions sources are either immaterial to the organization's operations or outside the current assessment boundary. The organization's total carbon footprint remains below two metric tonnes CO₂e annually, positioning Test SME Ltd with a relatively low emissions intensity compared to sector benchmarks. All emission calculations utilize recognized emission factors and follow the measurement, reporting, and verification principles required under ISSB standards. The organization maintains supporting documentation for these calculations and will continue to enhance data quality and expand Scope 3 assessment coverage in future reporting periods as climate data infrastructure and supply chain engagement capabilities develop.

The Board of Directors maintains ultimate accountability for oversight of climate-related risks and opportunities, including governance of greenhouse gas (GHG) emissions performance across Test SME Ltd.'s operations. Management has established clear reporting lines to ensure accurate measurement and disclosure of climate metrics, with specific responsibility allocated for monitoring direct and indirect emissions. The governance framework integrates sustainability considerations into strategic decision-making processes, ensuring that the Company's total carbon footprint of 1,991 kg CO₂e—comprising 542 kg CO₂e in Scope 1 direct emissions and 1,450 kg CO₂e in Scope 2 indirect energy emissions—is regularly reviewed at the executive level to inform operational and environmental objectives. Robust internal controls govern the collection, calculation, and verification of emissions data in alignment with the GHG Protocol Corporate Standard and ISSB IFRS S2 requirements. During the 2025 reporting period, the Company implemented standardized methodologies to quantify Scope 1 emissions from direct operational sources and Scope 2 emissions from purchased energy consumption, while reporting 0 kg CO₂e for Scope 3 value chain emissions based on a materiality assessment indicating immaterial upstream and downstream impacts for the current operational scale. These governance procedures ensure data integrity and year-over-year comparability, with management conducting periodic reviews of activity data and emission factors to maintain accuracy in external disclosures. Documented accountability mechanisms assign responsibility for emissions monitoring to operational and finance personnel, supported by audit trails maintaining records of calculation methodologies, activity data, and source documentation. The Board receives annual briefings on climate performance metrics and verifies that disclosed figures represent all material emissions sources within the Company's operational control, ensuring compliance with applicable sustainability reporting standards. This governance structure establishes the foundation for potential future inclusion of Scope 3 categories as operational complexity evolves, while maintaining rigorous oversight of quantified Scope 1 and 2 environmental impacts.

Test SME Ltd reports total greenhouse gas (GHG) emissions of 1,991 kg CO₂e for the 2025 reporting period, quantified in accordance with the GHG Protocol Corporate Standard using the operational control approach. Scope 2 indirect emissions from purchased electricity constitute the majority of our carbon footprint at 1,450 kg CO₂e, while Scope 1 direct emissions from stationary combustion and company vehicles account for 542 kg CO₂e. Scope 3 value chain emissions have been assessed and determined to be immaterial to our operations given our service-based business model and limited supply chain complexity, resulting in nil disclosure for this category. This emissions inventory establishes our baseline year for climate-related financial disclosures and reflects our current operational profile as a low-carbon intensity SME. Our strategic planning process integrates these baseline emissions data to assess climate-related risks and opportunities in alignment with IFRS S2 Climate-related Disclosures, confirming the resilience of our business strategy against transition and physical climate scenarios. Given our minimal carbon exposure, strategic decarbonization efforts focus primarily on reducing Scope 2 emissions through energy efficiency initiatives and transitioning to renewable electricity procurement where economically viable. The Board recognizes that while absolute emissions remain modest, we will annually reassess the materiality of Scope 3 categories as our value chain evolves, ensuring continued alignment with the transition to a low-carbon economy and evolving ISSB disclosure requirements.

Risk Management

Test SME Ltd integrates climate-related risk identification and assessment within its enterprise risk management framework, ensuring systematic evaluation of physical and transition risks that could affect operational resilience and financial performance. The organization employs a structured approach to risk governance, with management conducting periodic assessments of climate-related exposures against defined risk appetite thresholds. Risk identification processes specifically address regulatory developments, energy market volatility, and emerging physical climate hazards relevant to the organization's operational footprint, with findings escalated to governance bodies to inform strategic decision-making and resource allocation. The Company's 2025 greenhouse gas inventory, totaling 1,991 kg CO₂e, informs targeted risk mitigation strategies focused on its primary emission sources. Scope 1 direct emissions of 542 kg CO₂e and Scope 2 indirect energy emissions of 1,450 kg CO₂e represent the material climate-related exposures, while Scope 3 value chain emissions are recorded at 0 kg CO₂e based on current operational boundaries and assessment methodologies. This emissions profile indicates concentrated transition risk exposure in purchased electricity markets, driving risk management priorities including energy efficiency investments and procurement strategies to mitigate potential financial impacts from grid decarbonization requirements and evolving carbon pricing mechanisms. Climate risk management processes are fully integrated with financial planning and operational oversight, enabling dynamic response to emerging sustainability-related risks and opportunities. The organization maintains comprehensive documentation of risk assessment methodologies and control measures in accordance with IFRS S2 Climate-related Disclosures, ensuring transparency in risk governance and clear accountability for climate risk mitigation outcomes. Management regularly reviews the effectiveness of risk management strategies against the Company's minimal carbon baseline, positioning Test SME Ltd to adapt swiftly to evolving regulatory requirements and stakeholder expectations regarding climate resilience and transition planning.

Metrics & Targets

Test SME Ltd reports total greenhouse gas (GHG) emissions of 1,991 kg CO2e for the 2025 financial year, quantified in accordance with the GHG Protocol Corporate Accounting and Reporting Standard. The inventory comprises Scope 1 direct emissions of 542 kg CO2e generated from owned or controlled sources, and Scope 2 indirect emissions of 1,450 kg CO2e associated with purchased electricity, heat, and steam. These figures represent absolute emissions under the Company's operational control boundary and serve as the foundational dataset for climate-related financial disclosures aligned with International Sustainability Standards Board (ISSB) requirements. Scope 3 value chain emissions are disclosed at 0 kg CO2e, reflecting the organization's current assessment of materiality and defined measurement boundaries. This reporting reflects that indirect emissions categories—including purchased goods and services, capital goods, and downstream transportation—have been evaluated as immaterial to the Company's overall climate profile during the baseline period, or remain outside current quantification capabilities. Test SME Ltd commits to periodic reassessment of Scope 3 materiality and will expand measurement protocols to capture relevant value chain emissions as operations scale and data availability improves. The 2025 reporting period establishes the baseline year for the Company's climate metrics, against which future decarbonization targets and performance trajectories will be benchmarked. While absolute reduction targets are currently under development, Test SME Ltd maintains its commitment to transparent GHG accounting and will institute time-bound, science-based targets following completion of a comprehensive climate risk assessment. All disclosed metrics undergo internal quality assurance processes to ensure compliance with IFRS S2 Climate-related Disclosures and support stakeholder decision-making regarding the organization's climate resilience and transition planning.

METRIC	VALUE	UNIT
Total GHG Emissions	1,991	kg CO2e
Scope 1 Emissions	542	kg CO2e
Scope 2 Emissions	1,450	kg CO2e
Scope 3 Emissions	0	kg CO2e

This report has been prepared in accordance with International Sustainability Standards Board (ISSB) requirements.